

The Volume Momentum Deviation Factor

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<https://x.com/pritipatelfgoo/status/2091750955582980218>

Recently tested another pretty interesting quantitative factor called the Volume Momentum Deviation Factor (test chart below)

The logic is still very intuitive: when the short-period volume moving average starts to strengthen significantly relative to the long-period volume moving average, it often indicates that the activity level of funds in the market is rising, and sentiment and trading heat are also beginning to spread gradually

When a stock's volume structure begins to continuously strengthen, but the market's price reaction to it has not yet fully synchronized, it often means that a certain mismatch has appeared between fund behavior and price performance. This state of "volume energy leading, but price not yet fully reflecting it" usually implies a certain degree of potential trend or mispricing behind it

The factor formula is as follows:

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(sma(volume,13,2)-sma(volume,27,2)-sma(sma(volume,13,2)-sma(volume,27,2),10,2))
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Essentially, it's capturing the irrational behavior when the market shows a deviation between "short-term volume energy rapidly increasing" and the "long-period volume energy background," as well as the potential trend continuation or price correction opportunities brought by it

Two lines of source code to run the full backtest, everyone can go test it out

(Text as machine-translated by X from the original Chinese.)